

IPS Summary Commentary Report

Report Scope

- **Source:** ips_summary.commentary.txt
- **Document type:** Interpretive commentary on IPS summary output
- **Status focus:** mandate fit, risk-budget fit, and stress outcome

Executive Summary

- IPS output indicates CANDIDATE_RB_BREACH while MaxDD gate is passed and stress status is FAIL_STRESS.
- Final weights are concentrated in a limited set of top positions, led by **VOO 26.3%**, **ITA 13.5%**, **SLV 12.3%**, **SMH 9.3%**.
- Risk-budget deviation is explicit: under-allocation to Duration RC and over-allocation to Inflation RC.

Core Interpretation

Item	Reported value	Implication
Target volatility	17.0%	Aggressive risk allowance in mandate
Max drawdown limit	35.0%	Formal drawdown gate is not the binding constraint
Run status	CANDIDATE_RB_BREACH	Conditional acceptance; monitoring required
RC block fit	Growth 83.92%, Duration 0.16%, Inflation 15.92%	Risk budget mismatch by block
Stress status	FAIL_STRESS	Critical stress-gate weakness
Worst scenario loss	-31.89%	High downside in failed equity-shock regime

Risk Structure

- Risk is concentrated in Growth and top equity/commodity positions.
- Duration contribution is minimal versus target, reducing protective ballast.
- Portfolio sensitivity is elevated for equity-shock style regimes.

Strengths

- MaxDD gate is passed.
- Broad ticker coverage with near-unity total weight.
- Actionable remediation list is already provided in the source.

Weaknesses

- CANDIDATE_RB_BREACH status persists.
- FAIL_STRESS under FAIL_ROLE_EQUITY_SHOCK.
- Duration RC remains materially below target.

Scenario Behavior

- Portfolio is likely stronger in constructive risk-on environments.
- Equity-shock regime remains the critical failure path.

Conclusion / Key Takeaways

- IPS summary describes a return-seeking profile with acceptable MaxDD gating but incomplete risk-budget compliance.
- Main trade-off is retained growth potential at the cost of elevated shock sensitivity.